

The 2026 Theme Book

A deep read of 16 investment themes across 4 groups—the thesis, positioning, and portfolio execution.

+15%

'26 Trades' equal-weight
model YTD return (to late Feb)

16 Themes

across 4 distinct
macro/micro groups

**Top
Performers**

AI + Robots baskets

Ballast

NatGas & Fiscal Policy

The 2026 Tactical Heatmap

Group A: The AI Complex

01 AI Infrastructure	[Core Overweight]	[Trimming Crowded]
02 Semiconductors	[Long HBM/Power]	[Cut Memory Early (Miss)]
03 Optics	[Overweight HIMX]	[Underweight POET] [Short AAOI]
04 Edge AI	[Long On-Device vs Short PCs]	[Net-Memory-Neutral]
05 Agentic Utilities	[Dedicated Basket]	[Long Infra Software]
06 Robotics/Physical AI	[Core Basket - YTD Leader]	[Compute + Power]

Group B: Real-World Bottlenecks

07 Advanced Materials	[Dedicated Materials Basket]	[Long Atoms vs Software]
08 Fiscal Primacy	[Core Basket / Ballast]	[Long Fiscal Plumbing]
09 Defense	[Dedicated Basket]	[Pure-Theme Weighting]
10 Cybersecurity	[Long RBRK, ZS, FTNT, FFIV]	[Fade Legacy Vuln-Mgmt]
11 Energy	[NatGas Core Basket]	[Oil via Curve Flattener]

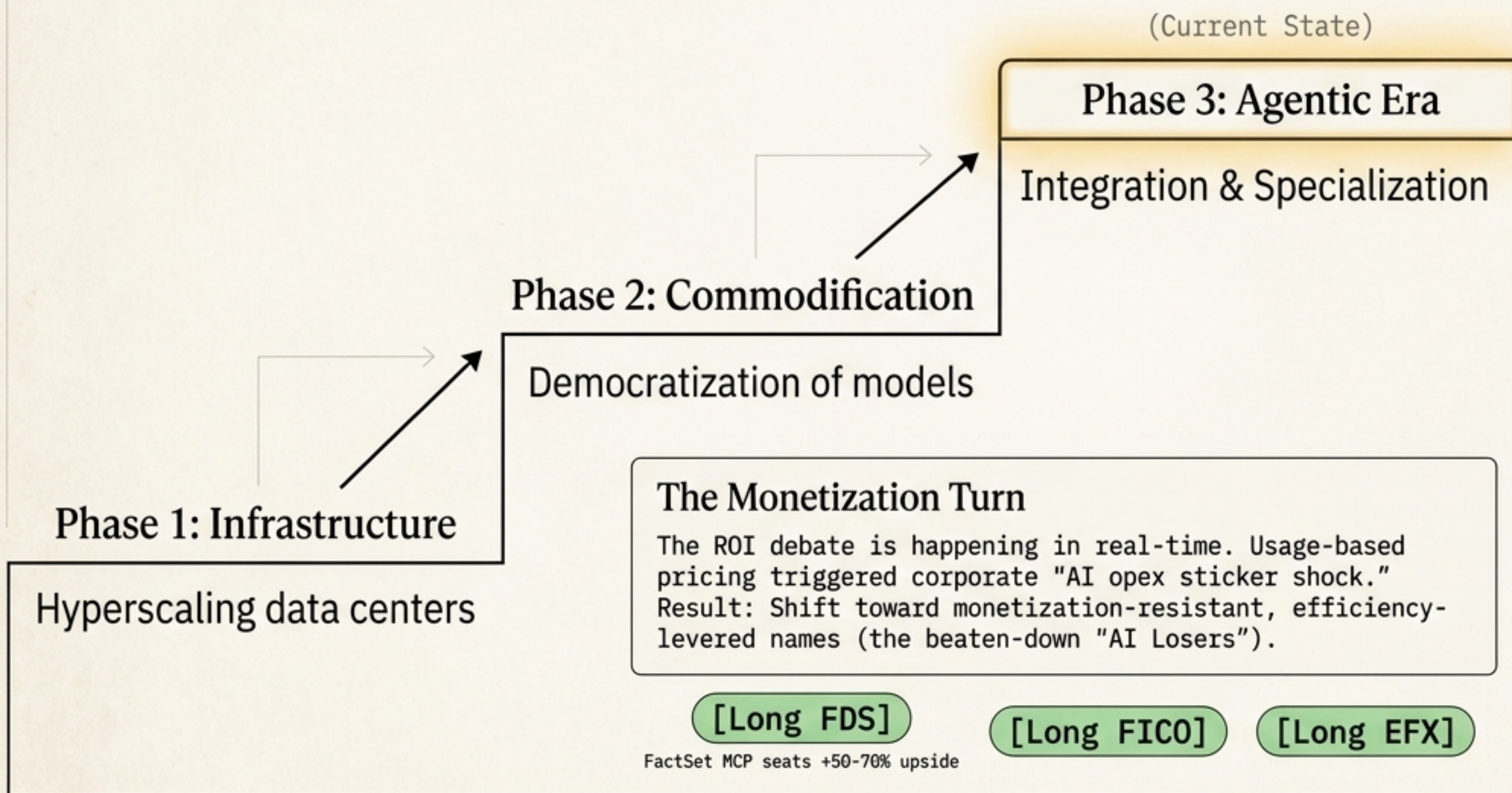
Group C: Fundamentals & Blind Spots

12 Healthcare	[Long RNA/GLP-1]	[Buy RVMD Offerings] [MOH Event-Driven]
13 Consumer	[Long Loud Luxury via Korea Retail]	
14 Small Themes	[Long Airlines/Senior Living]	[Watch BNPL]

Group D: Macro & Portfolio

15 Macro & Rates	[Bank L/S Basket]	[Tactical Long 30Y]
16 Scenarios	[New Longs: SHOP, Hyperliquid]	[Intel Crisis Scenario]

The AI Complex: From Tokenmaxxing to Tokenpanic



Key Metrics

~\$650-700bn

2026 hyperscaler capex

~5x

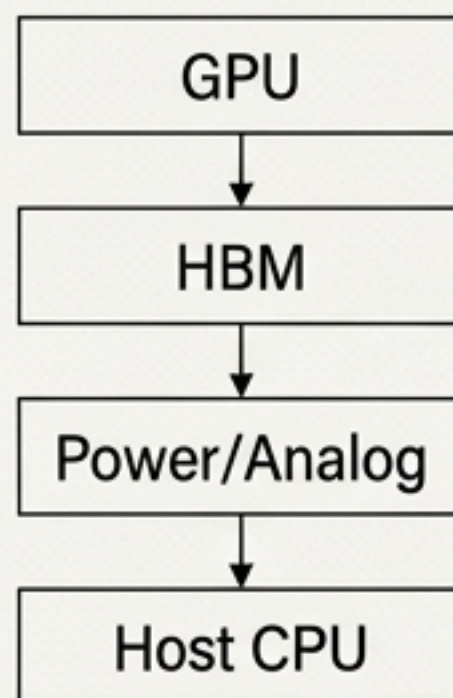
Anthropic ARR growth
(to ~\$45bn by May)

10-25x

Cost reduction using
Chinese models (DeepSeek V4/Qwen) vs frontier

The Hardware Bottleneck: Pushing Past the GPU

The Copper Limit (Semis & Power)



The violent memory supercycle radiates out. HBM consumes ~25% of DRAM capacity (requiring \$200m EUV scanners). Power/Analog is overwhelming cyclical headwinds (800V solid-state transformer inflection).

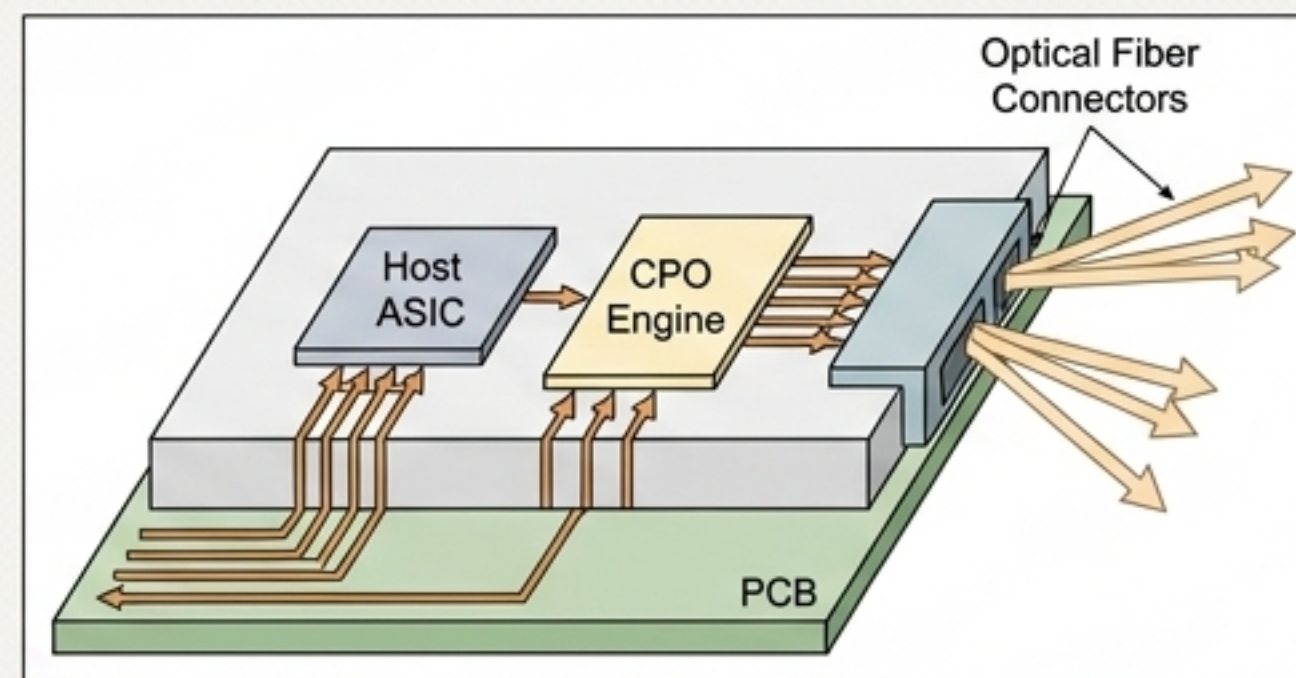
[Long QCOM] (CPU/Edge kicker)

[Long WOLF] (Silicon Carbide power)

[Long Korea Basket] (Cheaper AI driver)

[Cut memory early (Miss)]

The Light Limit (Optics & Connectivity)



Moving data to light. The upside sits in the enablers, substrates, and materials—not traditional transceivers.

[Overweight HIMX] (FAU optics & V-groove for TSMC COUPE)

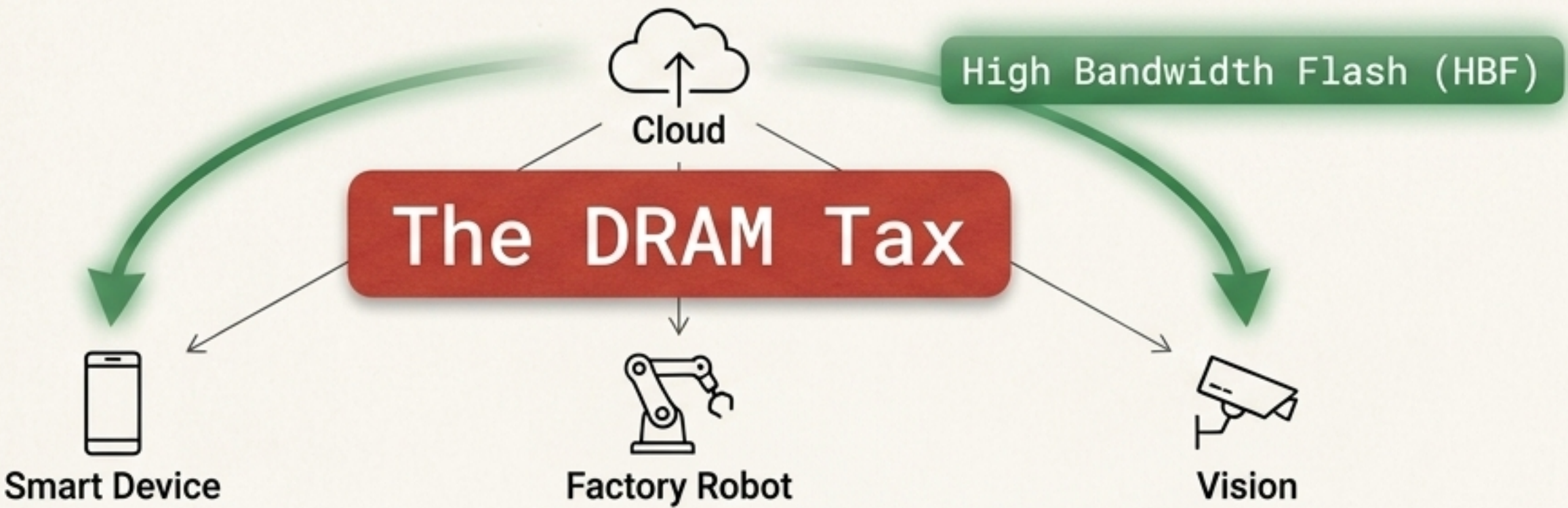
[Long AIXA] (70-90% MOCVD monopoly)

[Long NOK, SOI]

[Short AAOI] (Hedge against priced-for-perfection legacy optics)

The Physical Frontier: Edge AI & Robotics

The Edge Constellation



Key Data

~55x less
(NAND cost per bit
vs DRAM)

37.9x
(Throughput gain in
3D-NAND
compute-in-memory)

~56%
(Actuators as a % of
Tesla Optimus BOM)

The Edge & The “DRAM Tax”

The binding constraint on edge AI is memory. DRAM burns 56-69% of system power. Flash (NAND) breaks the memory wall. High Bandwidth Flash (HBF) is HBM4-compatible at 8-16x capacity.

[Long SIMO, 8299 TT (Phison)]

[Long SNDK / 000660 KS]

Robotics & Physical AI (YTD Leader)

Perception, control, and safety must run locally. Focus on the physical component sub-segments over software. Real-time perception has razor-thin margins for error.

[Long HSAI, Ouster]

[Long 6954 JP FANUC]

Digital Plumbing: “Always On, Never Prompted”

The Agentic Utilities Framework

The agentic internet reroutes traffic. The market threw infra software out with application software, creating a mispricing in the actual pipes of the internet.

Pillar 1: Infrastructure (CDNs)

Evolving from commoditized bit-delivery to security and edge-compute for dynamic traffic.

[Long AKAM] (+80% YTD,
\$1.8bn lab deal)
[Long FAST]
[Long NET]

Pillar 2: Ecosystem (Telephony & Payments)

Last-mile CPaaS for personalized agents.
(Payments remain ‘dark fiber’ awaiting a killer app).

[Long BAND] (+300% since
pub)
[Long TWLO, SINCH SS]

Pillar 3: Governance (Observability & Identity)

“You can’t bill what you can’t see.” Metering, control, and managing non-human identities.

[Long DDOG, DT, JFROG]
(JFrog in 93% of Fortune
100)
[Long SAIL]

Atoms vs. Bits: What Can't You Prompt Your Way Out Of?

Capital is rotating out of high-multiple software (repriced on the mere threat of AI disruption) into physical inputs that AI cannot conjure. You cannot prompt your way to more titanium.

Bits	Software Multiples / Threat of AI Disruption The illusion of infinite scale meets the reality of AI-driven commoditization. Valuation multiples compress as disruption probability increases. 
Atoms	Physical Scarcity / Monopolies Physical constraints, geopolitical bottlenecks, and capital-intensive moats define real-world value. The bedrock of the economy. 

The Scarcity Portfolio (Dedicated Materials Basket)

Beryllium	Tungsten	Nuclear Conversion	Fab Chemicals	Mining Fleet
[Long MTRN] ~\$500m market, single US company. The high ground.	~100,000 t/yr, largely through China, no substitute.	[Long SOLS] Cheapest nuclear play in the US.	[Long ENTG] Commodity chokepoints gaining pricing power. Hoya/AGC duopoly.	[Long 6301 JP (Komatsu)] Autonomous replacement cycle.

Defense: Moving the Bottleneck to the Battlefield

A multi-year rearmament capex cycle. 2018 was the cheapest year for organized protection in recorded history; the demand signal has now violently inverted.

1. Restock the “Exquisites”

Triage first: High-end interceptors and subcontractors facing unprecedented demand.

[Long LHX]

[Long DCO, PKE]

2. Advance Low-Cost Capability

Affordable munitions built to undercut legacy missiles at scale (Pentagon targeting ~8x production increase).

[Long Anduril / FAMMily]

(Subtext: Barracuda-500 costs ~\$218-355k, 1/4 price of JASSM-ER)

3. Leverage Global Allies

Korean defense exports and European missile independence (SAMP/T).

[Long MBDA]

(Eurosam consortium)

4. Secure Critical Materials

The raw inputs that gate the entire production ramp. (Linked directly to the Atoms basket).

Cybersecurity: Protection Matters (Tenable vs. Untenable)

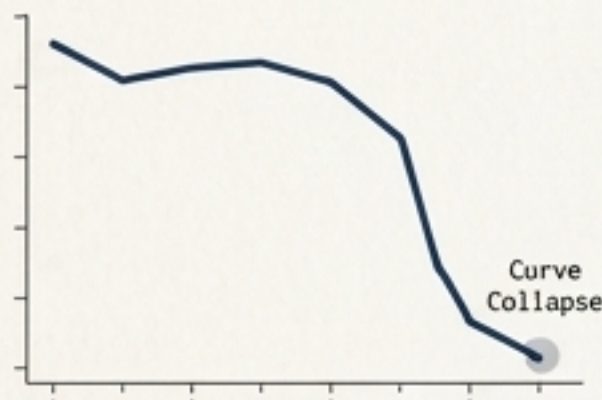
Agentic coding correlates 1:1 with worse breaches. 71% of IT leaders plan to reallocate budget to AI; 0% plan to cut cyber. However, the rally is undiscerning—incumbents face disruption from open-source AI replicating basic discovery tools.

The AI Divide in Cyber

AI-Insulated Winners	AI-Disrupted Losers
Where AI increases demand: Data security, Zero-Trust (ZTNA), Hardware-native red teaming, and non-human identity credentialing. [Long RBRK] Data volume protection [Long ZS] Agentic connection monitoring [Long FTNT, FFIV] [Long SAIL]	Where AI commoditizes: Legacy vulnerability management. Citrini’s test kitchen rebuilt a \$4,790/year Nessus Pro workflow using only open-source AI. [Fade TENB (Tenable)]

Portfolio Ballast: Real-World Policy & Energy Hedges

Energy (Oil & NatGas)



The **'Strait of Hormuz' Flattener**: Spot market overreacted to Hormuz risk, while the long end was underpriced. Expressed as a relative-value curve trade, capturing mispricing without spot directional bet.

Crude curve flattener collapsed from +39 to +1

[Core NatGas Basket]

[Long Month Basket]

[Long Deferred / Short Front-Month Oil]

Fiscal Primacy (US & Europe)



The Thesis: Government spending as the primary determinant of market returns. Sidestepping headline tech/defense to buy the 'unsexy plumbing' of the EU Draghi report and Chips Act.

[Long EU Plumbing: Copper, Cables, Turbines, Polysilicon]

[Long Colombia Telecom]

Healthcare: Platform Economics & Cyclical Troughs

Secular Innovation Platforms

- The industry shifts from “does this work?” to “how efficiently can we scale it across cancers?”

[Long RVMD]

Coverage for ~20% of cancers; buying into dilutive equity offerings that fund the platform

[Long GLP-1 / RNA Basket]

Cyclical Bioprocessing Recovery

- Requires both a cyclical trough and a secular catalyst. Recovery is now visible in observable order flow, not just management tone.

[Long Life Sciences Recovery Basket]

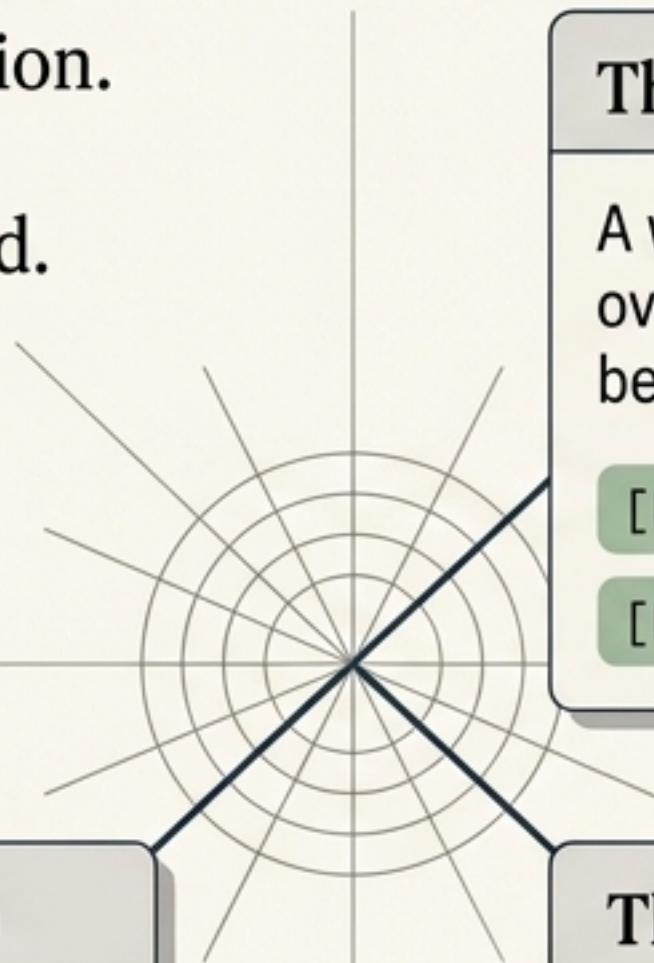
The Medicaid Event Trade

[Long MOH (Molina)]

80%+ Medicaid revenue. A discrete event-driven play on a potential Democratic House win lifting depressed beneficiary sentiment.

AI's Blind Spots: Where Analyst Attention Isn't

The scarcest input in the market is attention.
Every marginal analyst hour is pulled
toward AI, leaving durable setups ignored.



Theme 1: The 'Girlfriend Index' (Loud Luxury)

A wealth-effect luxury rebound, dodging the China overhang by playing South Korea's semiconductor belt where Samsung/SK Hynix bonuses are surging.

[Long 004170 KS (Shinsegae)]

[Long Hyundai Dept Store]

[Long LVMH/Kering]

Theme 2: Demographics & Senior Living

Demographic certainty regardless of the Fed.
Oldest Boomers turn 80.

80+ pop grows +56% next decade (vs ~5% total).

[Long Senior Living]

Theme 3: Scarcity (Live Events & Airlines)

Aircraft shortages create capacity governors.

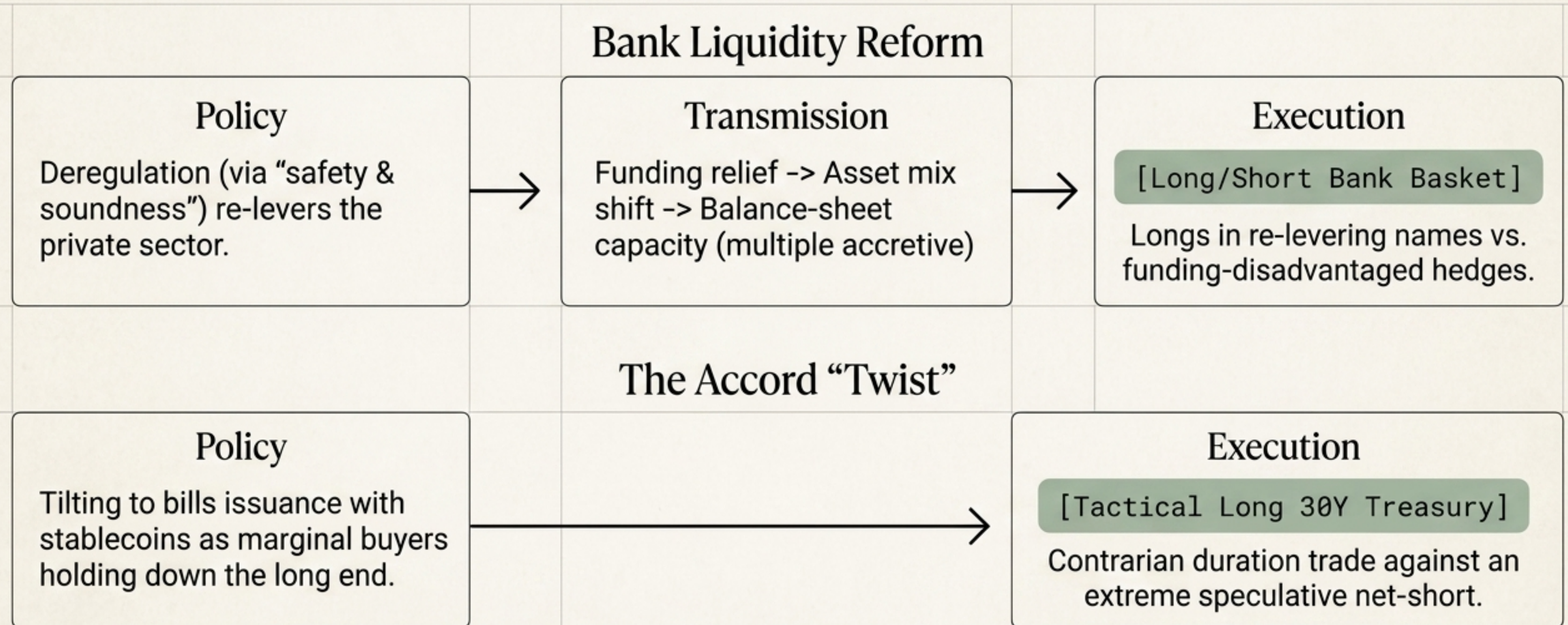
Live events possess scarce "being there" equity
(Dallas Cowboys valuation 55x since 1995 without a title).

[Long UAL, DAL]

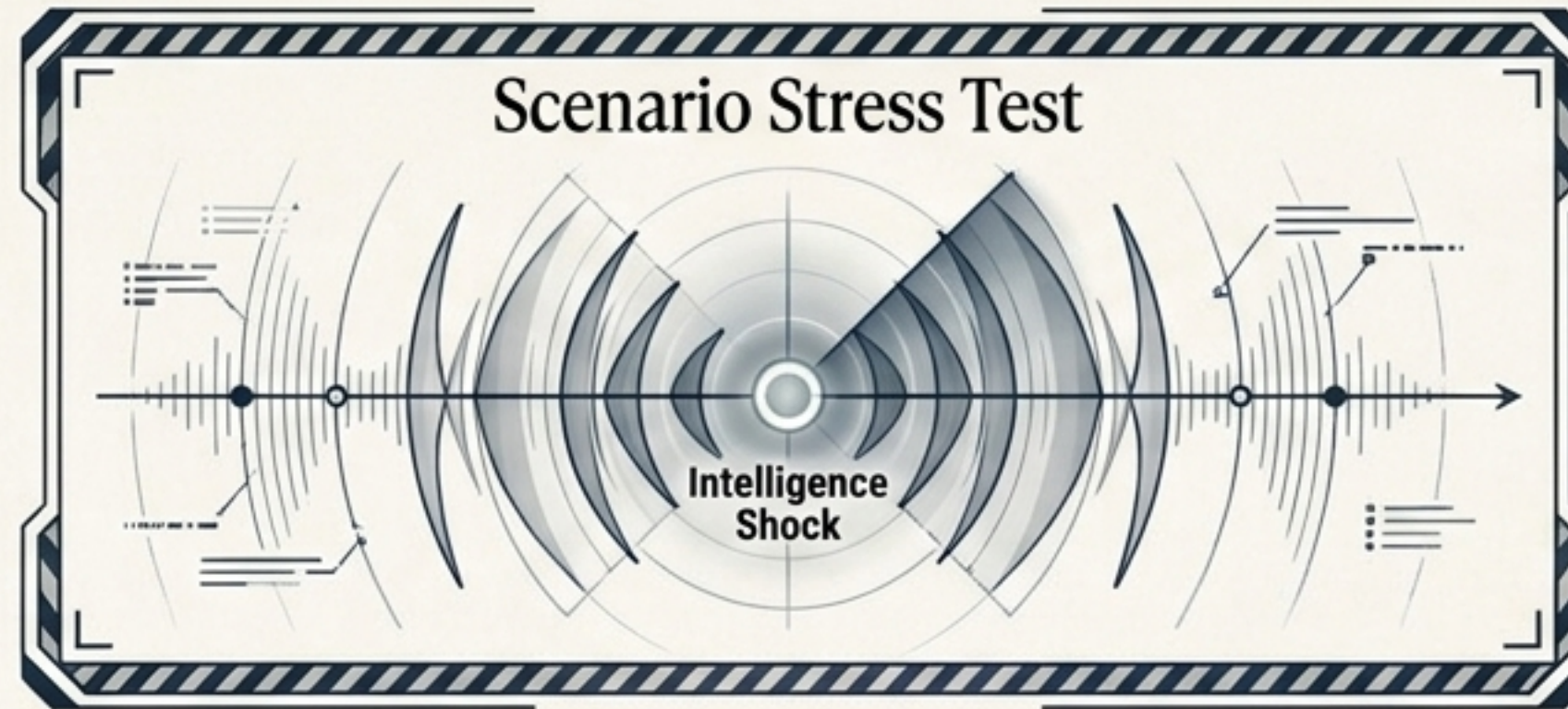
[Long Live Event Assets]

Macro Regime: Shrinking, Not Tightening

The “Treasury-Fed Accord 2.0”. Policymakers aim to reduce the Fed’s balance sheet and improve fiscal sustainability while stimulating growth.



Frameworks: The 2028 Global Intelligence Crisis



The Exercise

A speculative "financial history from the future."

Not a trade, but a thought exercise on how an AI-driven intelligence shock ripples through markets.

Used to minimize "intellectual blind spots" and size risk.

The Hedge

"Atoms vs. Bits" (Theme 07) doubles as the baseline framework for what AI *cannot* disrupt.

New Single-Name Additions (Second-Order AI Winners)

[Long SHOP]

Shopify: Disaggregation and AI-targeted demand driving conversions for the long-tail of retailers.

[Long Hyperliquid]

On-chain venue functioning as a real-time price discovery layer.

Execution: The 2026 Master Ticker Index

Ticker	Theme	Thematic Group	Stated Stance
QCOM, WOLF, ASPEED, LOTES	Semis	AI Complex	[Long]
HIMX, AIXA, NOK, SOI	Optics	AI Complex	[Long/Overweight]
AAOI	Optics	AI Complex	[Short/Hedge]
SIMO, SNDK, SK Hynix	Edge AI	AI Complex	[Long]
HSAI, OUST, FANUC, ALNT	Robotics	AI Complex	[Long]
AKAM, FAST, NET, BAND, TWLO, DDOG, SAIL	Agentic Utils	AI Complex	[Long]
MTRN, SOLS, ENTG, 6301 JP (Komatsu)	Atoms vs Bits	Bottlenecks	[Long]
LHX, DCO, PKE, Anduril, MBDA	Defense	Bottlenecks	[Long]
RBRK, ZS, FTNT, FFIV	Cyber	Bottlenecks	[Long]
TENB	Cyber	Bottlenecks	[Fade/Short]
RVMD, MOH	Healthcare	Fundamentals	[Long]
004170 KS, LVMH	Consumer	Fundamentals	[Long]
UAL, DAL	Small Themes	Blind Spots	[Long]
SHOP, Hyperliquid	Single Names	Macro/Portfolio	[Long]